

STACO INSURANCE PLC

MANAGEMENT ACCOUNTS

FOR THE PERIOD ENDED 30 JUNE 2021

STACO INSURANCE PLC

FINANCIAL HIGHLIGHTS

	2021 N'000	2020 N'000	Growth %
Major statement of financial position			
Total assets	2,659,082	3,100,338	(14.23)
Shareholders' funds	<u>(8,647,299)</u>	<u>(7,937,017)</u>	8.95

Major statement of comprehensive income

Gross premium	166,169	381,909	(56.49)
Net premium earned	236,350	473,921	(50.13)
Investment income	233	100,155	(99.77)
Other income	108,862	13,233	722.63
Net underwriting and claims expenses	(142,770)	(277,125)	(48.48)
(Loss)/profit before taxation	(658,411)	(271,011)	(142.95)
(Loss)/profit after taxation	<u>(709,515)</u>	<u>(281,011)</u>	<u>(152.49)</u>

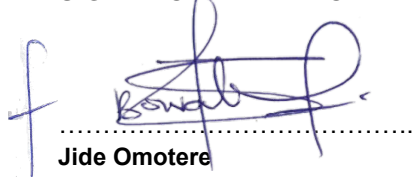
Information per 50k ordinary share

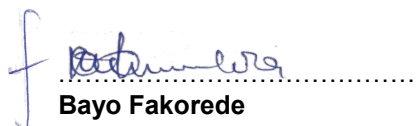
Earnings per share (kobo)	(8)	(3)	(152.49)
Net assets (kobo)	0	0	(0.14)
Stock exchange quotation (kobo) at 30 September	50	50	-
Price earning ratio	<u>(0.15)</u>	<u>(0.06)</u>	<u>-</u>

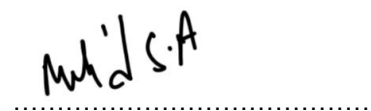
STACO INSURANCE PLC
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2021

		30 June 2021 N'000	31 December 2020 N'000
ASSETS	Note		
Cash and cash equivalents	8	48,163	413,034
Financial assets	9	85,738	88,975
Trade receivables	10	13,768	63,258
Reinsurance assets	11	448,874	448,874
Other receivables and prepayments	12	15,417	17,273
Deferred acquisition cost	13	14,157	28,432
Investment in subsidiary	14	-	-
Investment properties	15	1,520,000	1,520,000
Deferred tax assets	16.1	-	-
Leased assets	17	(0)	-
Property ,plant and equipment	18	212,966	220,492
Statutory deposit	19	300,000	300,000
Intangible asset	20	-	-
Total assets		2,659,082	3,100,338
LIABILITIES			
Insurance contract liabilities	21	3,204,933	3,265,162
Financial Liabilities	22	5,691,907	5,595,459
Trade payables	23	715,810	834,136
Other payables	24a	1,451,971	1,149,941
Deferred tax liabilities	16.1	98,050	98,050
Employee benefit liability	26	-	-
Taxation	27	143,710	94,607
Total liabilities		11,306,381	11,037,355
EQUITY	28		
Issued share capital	28a	4,670,544	4,670,544
Share premium	28c	434,164	434,164
Revaluation reserve	28d	1,595,299	1,595,299
Fair value reserve	28e	14,815	14,815
Contingency reserve	28f	2,311,663	2,306,755
Retained earnings	28g	(17,673,784)	(16,958,594)
Shareholders' funds		(8,647,299)	(7,937,017)
Total Liabilities and Equity		2,659,082	3,100,338

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY :


Jide Omotere
 Chief Finance Officer
 FRC/2013/ICAN/00000002180


Bayo Fakorede
 Ag. Managing Director
 FRC/2013/CIIN/00000004099


Muhammad Sidi Aliyu
 Chairman
 FRC/2020/003/000000021442

STACO INSURANCE PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE, 2021

		01.04 - 30.06 2021 N'000	30 June 2021 N'000	01.04 - 30.06 2020 N'000	30 June 2020 N'000
Gross Premiums written	Note 29	75,360	166,169	128,350	381,909
Gross Premium Income	29a	155,135	245,945	227,573	570,634
Reinsurance expenses	29b	-	(9,595)	(39,083)	(96,713)
Net Premium Income	29	155,135	236,350	188,489	473,921
Fees and Commission Income	30	-	2,562	8,314	21,046
Net underwriting Income		155,135	238,912	196,803	494,966
Claims expense	31	(58,437)	(100,483)	(64,916)	(182,592)
Underwriting expenses	32	(23,937)	(42,287)	(35,322)	(94,533)
Net underwriting and claims expenses		(82,374)	(142,770)	(100,238)	(277,125)
Underwriting results	7	72,761	96,142	96,565	217,842
Investment income	33	75	233	77,254	100,155
Net realised gain/(loss) on financial assets	34	-	-	-	-
Other income	35	(15,766)	108,862	12,285	13,233
Operating and administrative expenses	36	(499,920)	(700,645)	(187,280)	(520,181)
Interest on convertible bond	37	(48,500)	(91,129)	(41,030)	(82,060)
Impairment loss on trade receivables	38	(71,875)	(71,875)	-	-
Profit / (Loss) before taxation		(563,225)	(658,411)	(42,207)	(271,011)
Taxation	27.1	(46,104)	(51,104)	-	(10,000)
Profit / (Loss) for the year		(609,328)	(709,515)	(42,207)	(281,011)
Other comprehensive income					
Net fair value gain (loss) on available for sale financial assets	28e	-	-	-	-
Foreign exchange translation gain/(loss)	28f	-	-	-	-
Appreciation/Loss on investment in subsidiary		-	-	-	-
Total comprehensive income/(loss) for the year		(609,328)	(709,515)	(42,207)	(281,011)
Profit/(Loss) attributable to:					
Owner of equity		(609,328)	(709,515)	(42,207)	(281,011)
Non controlling interest		-	-	-	-
		(609,328)	(709,515)	(42,207)	(281,011)
Total comprehensive income/(loss) attributable to :					
Owner of equity		(609,328)	(709,515)	(42,207)	(281,011)
Non controlling interest		-	-	-	-
		(609,328)	(709,515)	(42,207)	(281,011)
Earning per share(kobo)					
- Actual		(7)	(8)	(0)	(3)
- Adjusted		(7)	(8)	(0)	(3)

STACO INSURANCE PLC

STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE, 2021

			Fair value				
	Share Capital N'000	Share Premium N'000	Revaluation Reserve N'000	(Available for sale) Reserve N'000	Contingency Reserve N'000	Retained Earnings N'000	Total Equity N'000
Balance as at 1 January 2020	4,670,544	434,164	1,595,299	333,904	2,270,028	(12,987,604)	(3,683,665)
Total comprehensive income for the year	-	-	-	-	-	-	-
Issue of share capital	-	-	-	-	-	-	-
Transfer to contingency reserve	-	-	-	-	11,457	(11,457)	-
Transfer from (to) retained earning	-	-	-	-	-	(281,011)	(281,011)
Dividend	-	-	-	-	-	-	-
Revaluation surplus	-	-	-	-	-	-	-
Balance as at 30 June 2020	<u>4,670,544</u>	<u>434,164</u>	<u>1,595,299</u>	<u>333,904</u>	<u>2,281,485</u>	<u>(13,280,073)</u>	<u>(3,964,676)</u>
Balance as at 1 January 2021	4,670,544	434,164	1,595,299	14,815	2,306,755	(16,958,594)	(7,937,017)
Total comprehensive income for the year	-	-	-	-	-	-	-
Issue of share capital	-	-	-	-	-	-	-
Transfer to contingency reserve	-	-	-	-	4,908	(4,908)	-
Transfer from (to) retained earning	-	-	-	-	-	(709,515)	(709,515)
Dividend	-	-	-	-	-	-	-
Revaluation surplus	-	-	-	-	-	-	-
Balance as at 30 June 2021	<u>4,670,544</u>	<u>434,164</u>	<u>1,595,299</u>	<u>14,815</u>	<u>2,311,663</u>	<u>(17,673,017)</u>	<u>(8,646,532)</u>

STACO INSURANCE PLC

STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 30 JUNE, 2021

		30 June 2021 N'000	30 June 2020 N'000
Cash flow from operating activities	Note		
Premium received from policy holders		215,660	378,561
Reinsurance receipts in respect of claims		1,489	189,257
Reinsurance cost		(9,595)	(86,370)
Cash paid to and on behalf of employees		(424,058)	(384,559)
Other operating cash payments/receipts		(341,121)	(184,923)
Commission paid		(24,196)	(19,532)
Maintenance expenses paid		(3,816)	
Claims paid		(82,426)	(221,848)
Tax paid		(2,000)	-
Net cash provided by operating activities	44	<u>(670,062)</u>	<u>(329,414)</u>
Cash flow from investing activities			
Purchase of property, plant and equipment	18	(315)	(1,140)
Purchase of intangible asset		-	-
Fund placement proceed		13,552	22,863
Dividend received		-	76,312
Interest received		233	23,843
Proceeds from sales of assets		11,570	11,630
Net cash provided by investing activities		<u>25,040</u>	<u>133,508</u>
Cash flow from financing activities			
Change in borrowings		280,151	223,065
Proceeds from issue of share capital		-	-
Repayment of finance lease liabilities		-	-
Net cash used in financing activities		<u>280,151</u>	<u>223,065</u>
Net increase/(decrease) in cash and cash equivalents		(364,871)	27,160
Cash and cash equivalents at the beginning of the year		413,034	205,245
Cash and cash equivalents at the end of the year		<u>48,163</u>	<u>232,404</u>
Represented by:			
Cash at bank and in hand	8	48,163	232,404
Cashbook overdrawn		-	-
		<u>48,163</u>	<u>232,404</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

RISK MANAGEMENT FRAMEWORK (CON'TD)

CAPITAL MANAGEMENT

The Group's objectives with respect to capital management are to maintain a capital base that is structured to exceed regulatory and to best utilize capital allocations

Insurance industry regulator measures the financial strength of Non-life insurers using a solvency margin model, NAICOM generally expects non-life insurer to comply with this capital adequacy requirement.

Section 24 of the Insurance Act 2003 defines Solvency Margin of a Non-life insurer as the difference between the admissible assets and liabilities and this shall not be less than 15% of net premium income (gross premium income less re-insurance premium paid) or the minimum capital base (3 billion) whichever is higher.

The test compares insurers' capital against the risk profile. The regulator indicated that the insurer should produce a minimum solvency margin of 100%. During the period, the Group consistently operated above the minimum. The regulator has the authority to request more extensive reporting and can place restrictions on the Group's operations as deemed necessary if the Group falls below this requirement

The solvency margin for the Company as at 30 June 2021 is as follows:

ASSETS:

	ADMISSIBLE N'000	IN ADMISSIBLE N'000	TOTAL N'000
Cash and cash equivalents	48,163	-	48,163
Financial assets	85,738	-	85,738
Insurance receivables	13,768	-	13,768
Reinsurance assets	448,874	-	448,874
Other receivables	-	15,417	15,417
Deferred acquisition cost	14,157	-	14,157
Investment in subsidiary	-	-	-
Investment properties and land	1,520,000	-	1,520,000
Leased assets	(0)	-	(0)
Property and equipment	212,966	-	212,966
Statutory deposit	300,000	-	300,000
Intangible assets	-	-	-
Total assets	2,643,666	15,417	2,659,082

LIABILITIES

Investment contract liabilities	-	-	-
Insurance contract liabilities	3,204,933	-	3,204,933
Borrowings	5,691,907	-	5,691,907
Trade payables	715,810	-	715,810
Other payables	1,451,971	-	1,451,971
Deferred tax liabilities	-	98,050	98,050
Current income tax liabilities	143,710	-	143,710
Total liabilities	11,208,331	98,050	11,306,381

SOLVENCY MARGIN (8,564,665)

MINIMUM REQUIRED 3,000,000

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE, 2021**

RISK MANAGEMENT FRAMEWORK (CON'TD)

CAPITAL MANAGEMENT

The Company further developed an internal capital adequacy model that assesses the risk of assets, policy liabilities and other exposures by applying various factors. The model calculates the capital required for each class of the broad risks identified by the Company and aggregates through co-variance methodology that considers the relationship between these risk categories.

As at period end, the Company showed a negative solvency margin of N8,564,665.25 and a solvency ratio of (285.49)%

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

7 SEGMENT INFORMATION- COMPANY

Segment Information

Following the management approach of IFRS 8, the company is organised into eight operating segments. These segments distribute their products through various forms of brokers, agencies, and direct marketing programs. Management identifies its reportable segments by product line. These segments and their respective operations for the period ended 30 June, 2021 are as follows:

Fire
General accident
Motor vehicle
Oil and gas
Marine
Aviation
Bond
Engineering

	Fire N'000	General Accident N'000	Motor Vehicle N'000	Oil and Gas N'000	Marine N'000	Aviation N'000	Bond N'000	Engineering N'000	Total N'000
Gross premium written	37,796	22,993	65,970	6	33,292	-	4,775	1,338	166,169
Gross premium income	61,277	68,051	96,933	(23)	13,628	5	2,141	3,933	245,945
Re-insurance expenses	(5,965)	-	-	-	(1,967)	-	(308)	(1,354)	(9,595)
Net premium income	55,312	68,051	96,933	(23)	11,661	5	1,833	2,579	236,350
Fee Income and commission	1,491	-	-	-	538	-	93	440	2,562
Investment returns									-
Net underwriting income	56,803	68,051	96,933	(23)	12,199	5	1,925	3,019	238,912
Claim expenses(Gross)	(9,830)	(11,606)	(13,959)	(44,559)	(1,919)	-	-	(553)	(82,426)
Insurance claims recovered / recoverable from reinsurers	(13,242)	(30,316)	30,962	237	(8,031)	220	5,523	(3,410)	(18,057)
Net insurance benefits and claims	(23,072)	(41,922)	17,004	(44,322)	(9,950)	220	5,523	(3,963)	(100,483)
Underwriting expenses	(12,562)	(13,374)	(11,848)	(5)	(3,335)	-	(372)	(791)	(42,287)
Total expenses	(35,635)	(55,296)	5,156	(44,328)	(13,285)	220	5,151	(4,753)	(142,770)
Reportable segment profit	21,168	12,755	102,089	(44,350)	(1,087)	225	7,076	(1,734)	96,142

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

SEGMENT INFORMATION CONT'D- COMPANY

The segment information provided by Management for the reporting segments for the year ended 30 June, 2020

	Fire N'000	General Accident N'000	Motor Vehicle N'000	Oil and Gas N'000	Marine N'000	Aviation N'000	Bond N'000	Engineering N'000	Total N'000
Gross premium written	<u>98,823</u>	<u>65,703</u>	<u>134,750</u>	<u>6,561</u>	<u>49,945</u>	<u>2,619</u>	<u>10,222</u>	<u>13,286</u>	<u>381,909</u>
Gross premium income	139,434	84,427	261,298	29,614	25,732	2,910	4,336	22,883	570,634
Re-insurance expenses	(49,298)	-	(7,577)	(22,511)	(11,170)	(70)	(1,222)	(4,865)	(96,713)
Net premium income	<u>90,137</u>	<u>84,427</u>	<u>253,720</u>	<u>7,103</u>	<u>14,561</u>	<u>2,840</u>	<u>3,114</u>	<u>18,018</u>	<u>473,921</u>
Fee Income and commission	10,438	-	1,184	5,026	2,645	12	328	1,412	21,046
Investment returns	-	-	-	-	-	-	-	-	-
Net underwriting income	<u>100,575</u>	<u>84,427</u>	<u>254,905</u>	<u>12,128</u>	<u>17,207</u>	<u>2,853</u>	<u>3,442</u>	<u>19,430</u>	<u>494,966</u>
Claim expenses(Gross)	(6,537)	(14,077)	(34,354)	(163,519)	(2,197)	(1,127)	-	(37)	(221,848)
Insurance claims recovered from reinsurers	(3,308)	(13,273)	12,061	117,358	(67,648)	305	1,523	(7,761)	39,256
Net insurance benefits and claims	<u>(9,845)</u>	<u>(27,350)</u>	<u>(22,294)</u>	<u>(46,162)</u>	<u>(69,845)</u>	<u>(822)</u>	<u>1,523</u>	<u>(7,798)</u>	<u>(182,592)</u>
Underwriting expenses	(24,363)	(17,179)	(31,150)	(6,265)	(9,609)	(737)	(891)	(4,339)	(94,533)
Total expenses	<u>(34,207)</u>	<u>(44,529)</u>	<u>(53,444)</u>	<u>(52,427)</u>	<u>(79,453)</u>	<u>(1,559)</u>	<u>632</u>	<u>(12,137)</u>	<u>(277,125)</u>
Reportable segment profit	<u>66,367</u>	<u>39,898</u>	<u>201,461</u>	<u>(40,298)</u>	<u>(62,247)</u>	<u>1,293</u>	<u>4,073</u>	<u>7,293</u>	<u>217,842</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
8 CASH AND CASH EQUIVALENTS		
Cash in hand	886	472
Due from banks and other financial institutions (note 8.1)		
	47,277	412,562
	48,163	413,034
8.1 Due from banks and other financial institutions		
Balances held with banks	(20,349)	331,384
Placement with banks	67,626	81,178
	47,277	412,562
Short-term deposits are made for varying period of one day and three months depending on the immediate cash requirement of the group.		
For the purpose of cash flows, cash and cash equivalents comprises include cash and bank balances (as above)	48,163	413,034

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
9 FINANCIAL ASSETS		
The group financial assets are summarised below by measurement category :		
Held to maturity (Note 9.1)	6,776	6,776
Loans and receivables (Note 9.2)	2,283	5,520
Available for sale financial asset (Note 9.3)	76,680	76,680
	85,738	88,975
9.1 Held to maturity		
Government securities	141	141
Treasury bills	6,635	6,635
	6,776	6,776
Due within 12 months	-	141
Due after 12 months	6,776	6,635
	6,776	6,776
There are no impaired held to maturity investments at 30 June 2021 (2020 nil)		
9.2 Loan and receivables		
Staff loan	2,283	5,520
	2,283	5,520
Due within 12 months	(11,655)	(8,418)
Due after 12 months	13,937	13,937
	2,283	5,520
9.2a Staff loan	110,566	113,803
Allowance for impairment (Note 9.2c)	(108,283)	(108,283)
	2,283	5,520

For loans and receivables exceeding 12 months, the estimated fair values of the loans and receivables are the discounted amount of the estimated future cash flows expected to be received. Expected cash flows are discounted factor at current market rates to determine fair value. For loans and receivables with maturity period of below 12 months, no discounting was applied.

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

9.2b Movement on the provision for impaired loans and receivables are as follows :

Company	Staff loan	Total
	N'000	N'000
At beginning of year	108,283	108,283
Provision for impairment	-	-
Provision no longer required	-	-
Amount written off during the year as uncollectible	-	-
Unused amount reversed	108,283	108,283

	30	31
	June	December
	2021	2020
	N'000	N'000
9.3 Available for sale investment		
Listed	-	-
Unlisted	76,680	76,680
	76,680	76,680
Due within 12 months	-	-
Due after 12 months	76,680	76,680
	76,680	76,680

The Group investment in unquoted equity financial instrument could not be fair valued as there were no observable data for which the entity could be fair valued, the carrying amount was based on cost less impairment.

The quoted equity financial instrument are measured at market value, the cumulative gain or loss are recognised in other comprehensive income.

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
10 TRADE RECEIVABLES		
Due from agents	-	-
Due from brokers	2,421,241	2,398,856
Due from Reinsurance companies	-	-
	<u>2,421,241</u>	<u>2,398,856</u>
Allowance for impairment (Note 10.1)	(2,407,473)	(2,335,598)
	<u>13,768</u>	<u>63,258</u>
Due within 12months	13,768	63,258
Due after 12 months	-	-
	<u>13,768</u>	<u>63,258</u>

10.1 Movement on the allowance for impairment of receivables arising out of direct insurance arrangements are as follows:

	N'000
At beginning of year	2,335,598
Provision for impairment	71,875
Provision no longer required	-
Amount written off during the year as uncollectible	-
At end of period	<u><u>2,407,473</u></u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
11 REINSURANCE ASSETS		
Prepaid reinsurance (note 11.1)	84,677	84,677
Reinsurance recoverable	133,479	133,479
Reinsurance projection on IBNR (Note 11.3)	230,718	230,718
Prepaid M&D Deposit - Re-Insurance	-	0
	448,874	448,874
Due within 12months	161,473	161,473
Due after 12 months	287,401	287,401
	448,874	448,874
11.1 Movement in prepaid reinsurance		
At beginning of year	84,677	84,677
Additions during the year	-	-
Amortisation during the year	-	-
At end of period	84,677	84,677

There were no indicators of impairment for re-insurance assets. Therefore, no impairment allowance is required in respect of these assets. The carrying amounts disclosed above is in respect of the reinsurance contracts which approximate the fair value at the reporting date.

	30 June 2021	31 December 2020
12 OTHER RECEIVABLES AND PREPAYMENTS		
Accrued income (Note 12.2)	-	-
Prepayment (Note 12.2)	5,110	6,966
Other receivables (Note 12.1)	10,307	10,307
	15,417	17,273
Due within 12months	15,417	17,273
Due after 12 months	-	-
	15,417	17,273
12.1 Other receivables		
Stock- consumables	-	-
Deposit for assets	-	-
Other sundry debtors	2,303,855	2,303,855
	2,303,855	2,303,855
Allowance for impairment (Note 9.2c)	(2,293,548)	(2,293,548)
	10,307	10,307

STACO INSURANCE PLC
NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021	31 December 2020
13 DEFERRED ACQUISITION COST		
At beginning of year	28,432	62,171
Additions during the year	24,196	104,793
Amortisation during the year	(38,471)	(138,532)
At end of period	<u>14,157</u>	<u>28,432</u>
Due within 12months	14,157	28,432
Due after 12 months	-	-
	<u>- 14,157 -</u>	<u>28,432</u>
14 INVESTMENT IN SUBSIDIARY		
14.1 The following table illustrates the summarized financial information of the company's investment in Staco Sierra Leone Limited		
Share of the Subsidiary's statement of financial position:		
Assets	-	-
Liabilities	-	-
Equity	-	-
Share of Subsidiary's reserves and profit or loss:		
Contingency reserve	-	-
Retained earnings	-	-
Carrying amount of the investment	-	-
14.2 Appreciation/(Diminution) in investment		
Carrying amount of the investment	-	-
Cost of investment	-	-
Appreciation in investment	-	-
This represents 60% holding in the ordinary share capital of Staco Sierra Leone Limited, a subsidiary incorporated and operating in Sierra Leone		
14.3 Disposal of Investment in Subsidiary		
Carrying amount of the investment		284,451
Fair value reserve		(209,718)
Cost of Investment	-	74,733
Disposal/Proceed of Investment		279,685
	-	204,952
Professional charge on Disposal		(16,160)
Gain/(Loss) on Disposal of Investment	-	<u>188,792</u>
15 INVESTMENT PROPERTIES		
At 1 January	1,520,000	1,520,000
Addition during the year	-	-
Revaluation surplus	-	-
At end of period	<u>1,520,000</u>	<u>1,520,000</u>
Cost/Valuation at 30 June, 2021 is represented by:		
Valuation	495,000	495,000
Cost	1,025,000	1,025,000
	<u>1,520,000</u>	<u>1,520,000</u>

Investment properties are carried at fair value which are determined by independent professional valuers. The determination of fair value of the investment properties was supported by market evidence. The modalities and process utilized extensive analysis of market data and other sector specific peculiarities corroborated with available database derived from previous experience.

The investment property is a landed property held for the purpose of capital appreciation. It is a bare land located at No 13 Glover Road, Ikoyi in Eti Osa Local Government Area of Lagos State.

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
16 DEFERRED TAX ASSETS		
At 1 January	-	-
Charge for the period	-	-
At 30 June 2021	-	-

The movement in deferred income tax liabilities during the year is as follows:

16.1 DEFERRED TAX LIABILITY	N'000	N'000
At 1 January	98,050	98,050
Charge for the period	-	-
At 30 June 2021	98,050	98,050

The movement in deferred income tax liabilities during the year is as follows:

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

17 LEASED ASSETS

	Furniture Fittings and equipment N'000	Motor Vehicle N'000	TOTAL N'000
Cost			
At 1 January 2021	-	31,750	31,750
Additions	-	-	-
Disposal	-	-	-
At 30 June 2021	-	31,750	31,750
Accumulated depreciation			
At 1 January 2021	-	31,750	31,750
Charge for the period	-	-	-
Disposal	-	-	-
At 30 June 2021	-	31,750	31,750
Carrying value			
At 30 June 2021	-	(0)	(0)
At 31 December 2020	-	-	-

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

18 PROPERTY, PLANT AND EQUIPMENT

	Land and Building N'000	Plant and Machinery N'000	Furniture Fittings and equipment N'000	Motor Vehicle N'000	Work in Progress N'000	TOTAL N'000
Cost						
At 1 January 2021	170,000	40,001	369,156	1,191,310	-	1,770,466
Additions	-	-	315	-	-	315
Reclassification	-	-	-	-	-	-
Disposal	-	(2,155)	(124)	(4,308)	-	(6,587)
Revaluation surplus (Note 27d)	-	-	-	-	-	-
At 30 June 2021	170,000	37,846	369,347	1,187,002	-	1,764,195
Accumulated depreciation						
At 1 January 2021	17,338	24,003	334,858	1,174,543	-	1,550,741
Charge for the period	-	788	2,694	3,535	-	7,016
Disposal	-	(2,155)	(66)	(4,308)	-	(6,529)
At 30 June 2021	17,338	22,636	337,486	1,173,770	-	1,551,229
Carrying value						
At 30 June 2021	152,662	15,210	31,861	13,233	-	212,966
At 31 December 2020	152,662	15,998	35,065	16,767	-	220,492

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021		31 December 2020
	N'000		N'000
19 STATUTORY DEPOSIT			
This represents amount deposited with Central Bank of Nigeria (CBN) in accordance with section 10(3) of the Insurance Act, 2003	<u>300,000</u>		<u>300,000</u>
Due within 12 months	-	-	-
Due after 12 months	<u>300,000</u>	-	<u>300,000</u>
	<u>300,000</u>	-	<u>300,000</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
20 INTANGIBLE ASSET		
Goodwill (Note 20.1)	-	-
Software (Note 20.2)	-	-
	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>
20.1 Intangible Asset - Goodwill		
Cost		
At 1 January	-	-
Addition	-	-
At 30 June 2021	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>
Amortisation		
At 1 January	-	-
Amortisation	-	-
At 30 June 2021	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>
Carrying value		
At 30 June 2021	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>
20.2 Intangible Asset - Software		
Cost		
At 1 January	-	-
Cost capitalised	-	-
At 30 June 2021	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>
Amortisation		
At 1 January	-	-
Amortisation	-	-
At 30 June 2021	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>
Carrying value		
At 30 June 2021	<u>-</u>	<u>-</u>
	<u><u>-</u></u>	<u><u>-</u></u>

The intangible assets of the company comprised of goodwill and computer software. The computer softwares are accounted for using the cost model of IAS 38 i.e cost less accumulated amortization and less accumulated impairment. The amortization is charged to income statement in line with the Company's policy.

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
21 INSURANCE CONTRACT LIABILITIES		
General business (note 21.1)	3,204,933	3,265,162
Life business (note 21.2)	-	-
Total insurance liabilities	<u>3,204,933</u>	<u>3,265,162</u>
Due within 12 months	3,204,933	3,265,162
Due after 12 months	-	-
	<u>3,204,933</u>	<u>3,265,162</u>
21.1 General business liabilities		
Outstanding claims provision (note 21.1a)	2,821,948	2,804,178
Claims incurred but not reported (note 20.1b)	282,195	280,418
Provision for unearned premium (note 21.1c)	100,790	180,566
Total general business insurance contract liability	<u>3,204,933</u>	<u>3,265,162</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
Outstanding claims provision - General business		
21.1a Movement in outstanding claims provision		
At 1 January	2,804,178	2,605,435
Claims incurred in the current year	100,195	454,917
Claims paid during the year	(82,426)	(256,174)
At 30 June 2021	<u>2,821,948</u>	<u>2,804,178</u>
Claims incurred but not reported (IBNR) provision		
21.1b Movement in IBNR provision		
At 1 January	280,418	260,544
Movement during the year	1,777	19,874
At 30 June 2021	<u>282,195</u>	<u>280,418</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

21.1c Unearned Premium

	Unearned premium 2021	Movement	Unearned premium 2020
Fire	20,138	(23,481)	43,619
Engineering	1,015	(2,595)	3,610
Motor	44,360	(30,963)	75,323
General Accident	11,796	(45,058)	56,854
Marine	20,550	19,664	886
Bond	2,932	2,634	298
Oil and gas	-	28	(28)
Aviation	-	(5)	5
	100,790	(79,776)	180,566

These provision represent the liability for short term insurance contracts for which the Group's obligations are not expired at period end, The unearned premium provision relates to the casualty insurance contracts for which the group expect to pay claims in excess of the related unearned premium provision.

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
21.2 Life insurance liabilities		
Provision for outstanding claims	-	-
Life liability (note 20.2a)	-	-
	<u>-</u>	<u>-</u>
21.2a The movement on the life funds account during the year was as follows :		
At 1 January	-	-
Increase/(decrease) during the year	-	-
At 30 June 2021	<u>-</u>	<u>-</u>
22 FINANCIAL LIABILITIES		
Convertible bond (Note 21.1)	4,655,849	4,564,720
Short term loan	1,036,058	1,030,739
	<u>5,691,907</u>	<u>5,595,459</u>
22.1 Convertible Bond		
This represents zero coupon JPY 1,200,000,000 direct, unconditional, unsubordinated and unsecured European bond with option issued on 9 November, 2007 to Daewoo Securities Europe Limited. The Bonds were issued with the option to subscribe for the ordinary Shares of the company with a yield of 4.25% per annum while the tenor of the convertible option is valid up to year 2029.		
As 1 January	4,564,720	4,414,276
Movement during the year(Note 22.2)	91,129	150,444
At 30 June 2021	<u>4,655,849</u>	<u>4,564,720</u>
22.2 Movement during the year		
Interest and default charges on the bond	91,129	150,444
Exchange gain / loss	-	-
Payments during the year	-	-
Provision no longer required	-	-
	<u>91,129</u>	<u>150,444</u>
22.3 Short term loan	<u>1,036,058</u>	<u>1,030,739</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
23 TRADE PAYABLES		
Insurance companies	513,115	513,115
Reinsurance payables (Note 23.1)	202,695	321,021
Agents & Brokers	-	-
	<u>715,810</u>	<u>834,136</u>
23.1 Reinsurance payables		
Reinsurance premium payable	202,695	321,021
Minimum deposit payable	-	-
	<u>202,695</u>	<u>321,021</u>
24a OTHER PAYABLES		
Lease obligation	4,387	4,387
Accruals	164,180	241,746
Other creditors (note 24.1)	1,283,404	903,808
	<u>1,451,971</u>	<u>1,149,941</u>
24.1 The breakdown of other creditors is as below:		
Tax payables	-	-
Unclaimed Dividend	42,848	42,848
Sundry payables	1,240,556	860,960
	<u>1,283,404</u>	<u>903,808</u>
The carrying amounts disclosed above approximate the fair value at the reporting date. All amount are payable within one year.		
Due within 12 months	1,283,404	903,808
Due after 12 months	-	-
	<u>1,283,404</u>	<u>903,808</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

30	31
June	December
2021	2020
N'000	N'000

26 EMPLOYEE BENEFIT LIABILITY

Gratuity scheme

The Group has a post employment benefit scheme which is not funded

The movement in the defined benefit obligation over the year is as follows:

At beginning of year	-	-
Current service cost		
Benefits paid	-	-
At 30 June 2021	<u>-</u>	<u>-</u>
Due within 12 months	-	-
Due after 12 months	-	-
	<u>-</u>	<u>-</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
27 TAXATION		
27.1 Charge		
Income	-	25,000
Education tax		
Tax audit/Prior year under provision	51,104	-
Technology tax		
	<u>51,104</u>	<u>25,000</u>
Deferred tax (note 15)	-	-
Charge for the period	<u>51,104</u>	<u>25,000</u>
27.2 Tax liability		
The movement on tax payable account during the year is as follows:		
At 1 January	94,607	69,607
Payments during the year	(2,000)	-
Charge for the period	51,104	25,000
At 30 June 2021	<u>143,710</u>	<u>94,607</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	30 June 2021 N'000	31 December 2020 N'000
28 EQUITY		
28a Share capital		
Authorised 9 billion(2012 -7 billion) ordinary shares of 50k each	<u>6,500,000</u>	<u>6,500,000</u>
Issued and fully paid 9,341,087,609 units of ordinary shares of 50k each	<u>4,670,544</u>	<u>4,670,544</u>
At 1 January	4,670,544	4,670,544
Issued during the year	-	-
At 30 June 2021	<u>4,670,544</u>	<u>4,670,544</u>
28c Share premium	<u>434,164</u>	<u>434,164</u>
Premium arising from the issue of shares are reported in the share premium account.		
28d Revaluation reserve		
At 1 January	1,595,299	1,595,299
Addition during the year (Note 18)	-	-
Disposal during the year	-	-
At 30 June 2021	<u>1,595,299</u>	<u>1,595,299</u>
Under current regulations, assets revaluation reserve is not available for distribution to shareholders either as dividends or bonus shares.		
No provision was made for deferred capital gains tax as the property is not meant for sale in the foreseeable future.		
28e Fair value reserves		
At the beginning of the year	14,815	224,532
Additions during the year	-	-
Disposal on investment in Subsidiary(Note 14.2)	-	(209,717)
At end of the period	<u>14,815</u>	<u>14,815</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

30 June 2021 N'000	31 December 2020 N'000
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28f Contingency reserve

In accordance with the Insurance act, a contingency reserve is credited with the greater of 3% of total premiums or 20% of profits for general business and 1% of total premiums or 10% of profits for life business. This shall accumulate until it reaches the amount of greater of minimum paid- up capital or 50 percent of net premium.

At the beginning of the year	2,306,755	2,286,282
Transfer from profit and loss	4,908	20,472
At end of the Period	<u>2,311,663</u>	<u>2,306,755</u>

28g Retained Earnings

General reserve consist of undistributed profits from previous years.

At the beginning of the year	(16,959,361)	(15,806,673)
Transfer from profit and loss	(709,515)	(1,131,449)
Transfer to contingency reserve	(4,908)	(20,472)
Revaluation of investment assets	-	-
At end of the year	<u>(17,673,784)</u>	<u>(16,958,594)</u>
Translation reserve (Note 28f(i))	<u>-</u>	<u>-</u>
	<u>(17,673,784)</u>	<u>(16,958,594)</u>

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

29	NET PREMIUM INCOME	01.04 -	30	01.04 -	30
		30.06	June	30.06	June
		2021	2021	2020	2020
		N'000	N'000	N'000	N'000
a	Gross Premium written	75,360	166,169	128,350	381,909
	Change in unearned premium provision	79,776	79,776	99,222	188,725
	Gross premium income	155,135	245,945	227,573	570,634
b	Reinsurance expenses:				
	Premium ceded to reinsurers	-	9,595	31,977	86,370
	Prepaid reinsurance	-	-	7,107	10,343
		-	(9,595)	(39,083)	(96,713)
	Net premium income	155,135	236,350	188,489	473,921
30	FEES AND COMMISSION INCOME	01.04 -	30	01.04 -	30
		30.06	June	30.06	June
		2021	2021	2020	2020
		N'000	N'000	N'000	N'000
	Fee income arising on insurance contracts	-	2,562	8,314	21,046
		-	-	-	-
		-	2,562	8,314	21,046

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

31 CLAIMS EXPENSES

	01.04 - 30.06 2021	30 June 2021	01.04 - 30.06 2020	30 June 2020
	N'000	N'000	N'000	N'000
Gross benefit and claims paid (Note 31.1)	23,999	82,426	15,106	221,848
Movement in Outstanding claims (Note	34,437	19,547	48,711	141,905
	58,437	101,972	63,817	363,753
Claims and Benefits recovered from Reinsurers (Note 31.3)	-	(1,489)	1,099	(181,161)
Net Claims Expenses	58,437	100,483	64,916	182,592

31.1 GROSS BENEFIT AND CLAIMS PAID

	01.04 - 30.06 2021	30 June 2021	01.04 - 30.06 2020	30 June 2020
	N'000	N'000	N'000	N'000
Fire	6,570	9,830	958	6,537
Engineering	-	553	-	37
Motor	8,853	13,959	11,259	34,354
General Accident	7,139	11,606	2,094	14,077
Marine	1,332	1,919	263	2,197
Bond	-	-	-	-
Oil and gas	105	44,559	531	163,519
Aviation	-	-	-	1,127
Others	-	-	-	-
Total benefits and claims paid	23,999	82,426	15,106	221,848

The insurance claims comprise of claims paid, claims expenses

31.2 MOVEMENT IN OUTSTANDING CLAIMS

	01.04 - 30.06 2021	30 June 2021	01.04 - 30.06 2020	30 June 2020
	N'000	N'000	N'000	N'000
General business (Note 31.2a)	34,437	19,547	48,711	141,905
Life business	-	-	-	-
	34,437	19,547	48,711	141,905

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

31.1 Breakdown of claims and benefit recoverable from reinsurers

	U1.04 - 30.06 2021 N'000	30 June 2021 N'000	U1.04 - 30.06 2020 N'000	30 June 2020 N'000
Fire	-	635	3,176	11,123
Engineering	-	549	12	2,748
Motor	-	130	-	260
General Accident	-	-	-	-
Marine	-	-	1,084	2,639
Bond	-	-	1,625	1,625
Oil and gas	-	175	-	170,667
Aviation	-	-	-	195
	-	1,489	5,897	189,257

31.1 Breakdown of movement in outstanding claims

	U1.04 - 30.06 2021 N'000	30 June 2021 N'000	U1.04 - 30.06 2020 N'000	30 June 2020 N'000
Fire	9,876	13,877	(4,606)	10,304
Engineering	410	3,958	8,219	10,102
Motor	3,125	(30,832)	(9,983)	(12,435)
General Accident	22,316	30,316	3,461	13,273
Marine	(995)	8,031	195	69,352
Bond	-	(5,523)	-	-
Oil and gas	(75)	(62)	51,425	51,425
Aviation	(220)	(220)	-	(116)
	34,437	19,547	48,711	141,905

31.3 Claim Expenses Recovered from Reinsurers

	U1.04 - 30.06 2021 N'000	30 June 2021 N'000	U1.04 - 30.06 2020 N'000	30 June 2020 N'000
General business	-	1,489	5,897	189,257
Life business	-	-	-	-
	-	1,489	5,897	189,257

Insurance recoveries and recoverable consist of actual amount recovered from the reinsurers.

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NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	01.04 - 30.06 2021 N'000	30 June 2021 N'000	01.04 - 30.06 2020 N'000	30 June 2020 N'000
32 UNDERWRITING EXPENSES				
Acquisition expenses (Note 32.1)	22,747	38,471	32,667	81,350
Maintenance expenses (Note 32.2)	1,190	3,816	2,656	13,182
	23,937	42,287	35,322	94,533
33.1a Breakdown of acquisition expenses				
Acquisition cost paid by company	4,634	12,096	5,154	19,532
Acquisition cost deducted at source by	5,808	12,100	14,799	37,187
	10,442	24,196	19,953	56,719
Movement in DAC	12,305	14,275	12,714	24,631
Acquisition expenses charged	22,747	38,471	32,667	81,350
Movement in DAC				
Opening DAC 01/01/2021	-	28,432	51,158	63,075
Less: Closing DAC 30/06/2021	12,305	(14,157)	(38,444)	(38,444)
	12,305	14,275	12,714	24,631
32.1 Breakdown of acquisition expenses				
	01.04 - 30.06 2021 N'000	30 June 2021 N'000	01.04 - 30.06 2020 N'000	30 June 2020 N'000
Fire	2,100	6,559	6,796	15,500
Engineering	51	268	367	2,137
Motor	3,526	6,628	4,058	13,577
General Accident	963	3,842	4,935	12,776
Marine	3,515	6,168	3,145	9,646
Bond	286	730	311	1,802
Oil and gas	1	1	114	782
Aviation	-	-	226	500
	10,442	24,196	19,953	56,719

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

32.2 Breakdown of maintenance expenses

	01.04 - 30.06 2021 N'000	30 June 2021 N'000	01.04 - 30.06 2020 N'000	30 June 2020 N'000
Fire	205	1,033	424	1,367
Engineering	0	10	31	276
Motor	837	1,698	926	3,276
General Accident	13	171	262	982
Marine	114	859	966	4,594
Bond	10	35	24	98
Oil and gas	10	10	11	2,404
Aviation	-	-	11	185
	1,190	3,816	2,656	13,182

33 INVESTMENT INCOME

Investment income	-	-	-	21,914
Dividend income	-	-	76,312	76,312
Held-to-maturity , loans and receivables	-	158	111.53	424
Cash and cash equivalents	75	75	830	1,505
Net investment income	75	233	77,254	100,155

33.1 Investment Income Distribution

Share -shareholders	75	233	77,254	100,155
Share -policy holder	-	-	-	-
	75	233	77,254	100,155

34 NET REALISED GAIN/(LOSS) ON FINANCIAL ASSETS

Realized gain/(loss) on disposal of financial assets	-	-	-	-
Impairment of financial assets	-	-	-	-
	-	-	-	-

35 OTHER INCOME

Provision no longer required - other receivables	-	-	-	-
Provision no longer required -trade receivables	-	-	-	-
Foreign exchange translation gain/(loss)	(15,893)	108,035	-	-
Revaluation of investment assets	-	-	-	-
Gain / (Loss) on disposal of fixed assets	292	872	11,570	11,630
Excess interest charges	-	-	-	-
Sundry income	(165)	(45)	715	1,604
Provision no longer required:		-	-	-
Financial assets		-	-	-
Impairment of PPE - Motor Vehicles		-	-	-
	(15,766)	108,862	12,285	13,233

STACO INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE, 2021

	01.04 - 30.06 2021 N'000	30 June 2021 N'000	01.04 - 30.06 2020 N'000	30 June 2020 N'000
36 OPERATING AND ADMINISTRATIVE EXPENSE				
Management expenses comprise:				
Employee benefits expense (Note 36.1)	321,842	424,058	129,024	384,559
Depreciation-Property, plant and equipments	3,508	7,016	12,766	26,171
Depreciation -leased asset	-	-	-	-
Amortization -Intangible assets	-	-	169	610
Impairment loss on PPE	-	-	-	-
Auditors remuneration	-	-	3,500	7,000
Directors' emolument	9,200	11,150	450	876
Finance cost (Note 36.2)	85,620	87,731	2,165	5,827
Operating expenses	79,750	170,689	39,207	95,138
Impairment loss on other receivables	-	-	-	-
Impairment loss on Investment	-	-	-	-
	<u>499,920</u>	<u>700,645</u>	<u>187,280</u>	<u>520,181</u>
36.1 Employee benefits expense				
Salaries and wages	99,318	195,390	120,518	267,837
Pension	5,143	10,216	6,566	15,322
Medical	5,444	5,489	1,882	8,065
Staff training	374	1,151	58	1,371
Terminal benefit	211,563	211,813	-	91,965
	<u>321,842</u>	<u>424,058</u>	<u>129,024</u>	<u>384,559</u>
36.2 Finance Cost				
Finance cost is made up of interest on finance lease, bank charges and interest on overdrawn bank accounts within the reporting period.	<u>85,620</u>	<u>87,731</u>	<u>2,165</u>	<u>5,827</u>
37 INTEREST ON CONVERTIBLE BOND				
Interest on bond (Note 22.2)	<u>48,500</u>	<u>91,129</u>	<u>41,030</u>	<u>82,060</u>
Interest was being charged at 4.25% per annum upto 2012. Upon rescheduling the loan, interest is now charged at 10% per annum.				
38 IMPAIRMENT LOSS ON TRADE RECEIVABLES				
Impairment loss on trade receivables	<u>71,875</u>	<u>71,875</u>		-